they lack the patience for undertaking a careful analysis. Education is critical to overcoming this aspect of recency bias.

Price versus value. Human nature is to chase "hot money," and investors subject to recency bias often fixate on price performance while neglecting value indicators. Advisors need to demonstrate that out-of-favor, undervalued asset classes can make for very wise investments. The periodic table of investment returns is often a very persuasive visual aid and can help sway the recency-biased client toward a balanced allocation.

"It's different this time." Most practitioners recognize that an uninhibited, spontaneous critique of a client's every investment whim would probably hurt the relationship. Many advisors instead take an "advisory piggy bank" approach, saving up (i.e., holding back) some sentiments with regard to certain clients' ideas about their portfolios. Practitioners of this mind-set rationalize that the number of blatant criticisms (e.g., "How can you be so overconcentrated in XYZ stock?!") that advisory relationships can endure is probably limited. So, they should try to "withdraw from the piggy bank" only on the important occasions. If you're an advisor who utilizes the piggy bank approach and your client utters, "It's different this time," then you may need to make a substantial piggy bank withdrawal. Point to historical evidence until your client understands that it won't be different this time. It never is.

Unbalanced portfolio. Proper asset allocation and diversification are crucial to long-term investment success. Educating clients on these principles is essential to helping them reach their financial goals. Do not let your clients become enamored with one certain stock and let that stock dominate a portfolio. The stock could tumble, and your client could lose money. Education is critical to demonstrating why recency bias can be so dangerous. It might, perhaps, go without saying that in these situations, nothing can replace the benefit of objective advice.

NOTES

1. James Montier, "Irrational Pessimism and the Road to Revulsion" (research report, Dresdner Kleinwort Wasserstein, February 2003).